UPI/ONLINE PAYMENT FRAUD

Case study

Abstract

This guide will help you understand the threats, recognize common scams, and protect yourself in the digital financial landscape

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25BAS10002

What is UPI/Online Payment Fraud?

UPI (Unified Payments Interface) fraud involves unauthorized transactions where criminals steal money from your bank account through digital payment platforms. These scams exploit the convenience of instant money transfer systems like UPI, Paytm, PhonePe, and Google Pay. Fraudsters use social engineering, phishing attacks, malware, and fake apps to gain access to your financial information and complete unauthorized transactions within seconds.

According to the National Payments Corporation of India, UPI transactions crossed 10 billion monthly transactions in 2023, making it a prime target for cybercriminals. The Reserve Bank of India reported that digital payment fraud cases increased by 35% in the last year, with young adults aged 18-25 being particularly vulnerable due to their heavy reliance on mobile banking and less financial experience.

Real Case Study: The Fake Job Scam

The Victim

22-year-old college student Priya Sharma from Mumbai received a call about a work-from home data entry job opportunity with a reputed company. She was asked to download a "payment verification app" to receive her salary

The Scam Process

1. Received call from "HR department"
2. Asked to download fake app from unknown link
3. Shared UPI PIN during "verification"
4. ₹15,000 drained in 3 transactions

How It Happened Step-by-Step:

The Initial Contact

Priya received a call from an unknown number claiming to be from a legitimate company's HR department. The caller had her resume details and college information, making the call seem authentic

The App Download Request

She was instructed to download a "payment verification app" from a link sent via SMS. The app looked identical to legitimate payment apps but was actually malware designed to capture UPI credentials

Sharing Sensitive Information

During the supposed verification process, she was tricked into sharing her UPI PIN and OTP codes under the guise of "activating" the payment system. The fraudster used these credentials immediately.

Financial Loss

Within minutes, three transactions totaling ₹15,000 were completed to different numbers. By the time she realized something was wrong, the money was already transferred and unrecoverable

Consequences: Priya lost her semester fees, faced academic delays, and experienced significant stress and anxiety. The case was reported to cybercrime.gov.in, but recovery proved difficult. This incident highlights how sophisticated scammers

have become in targeting young, digitally-active individuals with believable scenarios

Common type of fraud

Vishing Scams

Fraudsters call pretending to be bank officials or customer support, asking for UPI PIN, OTP, or card details under false pretenses of "account verification" or "security upgrade."

Phishing Messages

Fake SMS or WhatsApp messages with malicious links that install malware or direct you to fake banking websites designed to steal login credentials and financial information.

Online Shopping Fraud

Scammers create fake e-commerce websites or social media pages offering discounted products. After payment, no goods are delivered, or counterfeit items are sent instead.

Prize/Lottery Scams

Messages claiming you've won a prize or lottery but requiring a "processing fee" via UPI to claim it. Once payment is made, communication stops completely.

False Discount Offers

Too-good-to-be-true deals on social media or messaging apps that require immediate UPI payment. The offers disappear after payment, or fake products are delivered.

Fake App Scams

Malicious apps disguised as legitimate banking or payment apps that steal credentials when installed. Often found on third-party app stores or through suspicious download links.

STAY SAFE ONLINE: ESSENTIAL PREVENTION CHECKLIST

Protecting yourself from UPI and online payment fraud requires consistent vigilance and following proven security practices. This comprehensive checklist provides actionable steps

specifically designed for college students navigating India's digital payment landscape. Bookmark this page and review these practices regularly to build strong security habits that

will protect you throughout your life.

1 Never Share Your UPI PIN or OTP

Your UPI PIN is as important as your ATM PIN. No legitimate bank, company, or person will ever ask for your UPI PIN or OTP. If someone requests it, it's definitely a scam.

Memorize your PIN and never write it down or share it digitally.

2 Verify Sender Before Any Transaction

Always confirm the recipient's UPI ID or phone number before sending money. Scammers often use similar-looking numbers or names. For new contacts, verify through a

second channel like a phone call or video chat before completing payment.

3 Use Official Apps Only

Download payment apps exclusively from official app stores (Google Play Store or Apple App Store). Never install apps from SMS links, WhatsApp messages, or third-party websites. Check developer names and app reviews before installation.

4 Enable Two-Factor Authentication

Activate all available security layers including biometric authentication (fingerprint/face ID), device binding, and transaction limits. Set up notifications for every transaction attempt to immediately detect unauthorized activity.

5 Be Wary of Unsolicited Calls

Never provide banking details to unexpected callers claiming to be from your bank or payment service. Hang up and call the official customer care number to verify any claims.

Banks will never ask for sensitive information over unsolicited calls.

6 Check URLs Before Clicking

Hover over links in messages and emails to see the actual destination. Watch for misspelled domains and suspicious URLs. Never enter financial information on websites that don't start with "https://" and display a padlock icon.

7 Set Daily Transaction Limits

Configure reasonable daily transaction limits in your payment apps (₹10,000-₹25,000 is sufficient for most students). This prevents large unauthorized transactions even if your credentials are compromised. You can always temporarily increase limits when needed.

8 Review Transaction History Regularly

Check your transaction history at least twice weekly for unauthorized transactions. Most payment apps show pending transactions that can be canceled if caught early.

Immediate reporting within 24 hours significantly increases recovery chances.

9 Use Separate Bank Account for Digital Payments

Maintain a dedicated bank account with limited funds specifically for UPI and online payments. Keep only essential amounts (₹5,000-₹10,000) in this account. This limits potential losses if fraud occurs while protecting your main savings.

10 Keep Apps Updated

Install security updates immediately when available. Developers frequently patch security vulnerabilities that scammers exploit. Outdated apps are significantly more vulnerable to malware and hacking attempts. Enable auto-updates for critical payment apps.

11 Create Strong, Unique Passwords

Use different complex passwords for each financial account. Include uppercase, lowercase, numbers, and special characters. Never reuse passwords across accounts. Consider using a reputable password manager app to securely store and generate strong passwords

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12 Avoid Public Wi-Fi for Transactions

Never complete financial transactions on public Wi-Fi networks at cafes, libraries, or college campuses. Use mobile data or secure home Wi-Fi instead. Public networks are

easily monitored by hackers who can intercept login credentials and transaction details.

Additional financial safety practices include:

. Set up transaction notifications via SMS and app alerts for every payment attempt

. Never save UPI PIN or passwords in phone notes or cloud storage

. Clear transaction history and cache regularly in payment apps

. Use UPI apps with built-in fraud detection and instant blocking features

. Link payment apps to a bank account with sufficient balance but not your primary savings

account

. Report lost or stolen phones immediately to your bank and payment service

· Use UPI apps that offer "pending transaction" review before final authorization

. Enable transaction location restrictions if your payment app supports it

Remember that digital payment fraud is preventable with proper precautions. According to RBI data, 95% of fraud victims could have avoided the scam by following basic security practices. Your UPI PIN, OTP codes, and banking credentials are powerful tools that must be protected like physical valuables. Treat your digital financial information with the same care as you would treat cash or important documents. The National Cyber Crime Portal and helpline 1930 exist specifically to support victims like you. Don't hesitate to report incidents—every report helps authorities track and stop fraud networks. Your courage to report protects others from experiencing the same scam. Together, we can create a safer digital payment ecosystem for all Indian citizens